

Business Management Systems

Ethics

Riaz Esmailzadeh

We respectfully acknowledge the Kaurna, Boandik,
and Barngarla First Nations Peoples and their Elders
past and present, who are the Traditional Owners of
the lands that are home to our campuses across
Adelaide and South Australia.

Outline

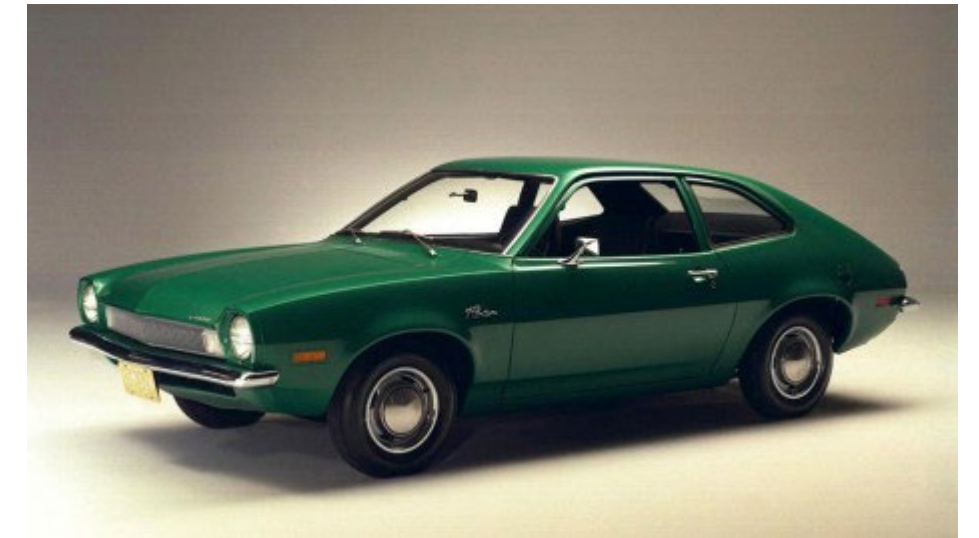
- A few case studies
- A few definitions
- A global society
- Business Ethics
- Engineers Australia Code of Ethics

References

- The following slides are based partly on my readings of the following textbooks. Individual referencing is not made.
 - Peter Singer, “One World”
 - James Rachels, “The Elements of Moral Philosophy”
 - Lawrence M. Hinman, “Ethics, A Pluralistic Approach to Moral Theory”
 - O. C. Ferrell, et. Al. “Business Ethics”
 - Joseph W. Weiss, “Business Ethics”
 - Jean-François Rischard, “High Noon”

Ford Pinto

- In the 70's the Japanese small cars flooded the US market, and put a big dent in the market share and profits of the big three (GM, Ford, Chrysler)
- The big three responded by designing small cars of their own
 - Ford Pinto was designed and manufactured in record time (25 months)
 - It was designed weigh to be under 1000 kilograms and cost less than US\$2000
- Was Ford unethical in getting the product out too quickly without proper testing?



Nestle's Infant Formula

- Aggressive marketing of baby formula products was shown to lead to high infant mortality in developing countries
- This was not mainly because of the product's safety issue
 - There was quality control issues in local factories
 - And of course mother's milk is always better!
- Rather it was because of aggressive marketing campaign
- Also, mothers could not read the instruction well and therefore the mixture, as well as the quality of the water used for making the formula was not good
- Was Nestle unethical in their marketing and advertising campaigns?



Bribery at Lockheed-Martin

- In the 1970s, Lockheed-Martin a major US Defence manufacturer was selling military and civilian aircraft to many US allies
- They paid tens of millions of dollars in bribes to people who could make the decision on which equipment their government, or national companies would buy
 - \$1 million to Prince Bernhard, husband of Queen Juliana of the Netherlands
 - \$9 million to (indirectly) Prime Minister Tanaka of Japan...
- Several other companies were also found to have paid bribes:
 - Northrop: \$30M, Exxon \$27M, Raytheon, GTE, Gulf Oil, etc.



Lockheed's Defence

- Lockheed President Kotchian strongly defended the payments:
 - “Such disbursements did not violate American Laws ... My decision to make such payments stemmed from my judgment that the [contracts] ... would provide Lockheed workers with jobs and thus rebound to the benefit of their dependents, their communities and stockholders of the corporation. I should like to emphasize that the payments ... ,were all requested ... And were not brought up from my side”

Other Justifications

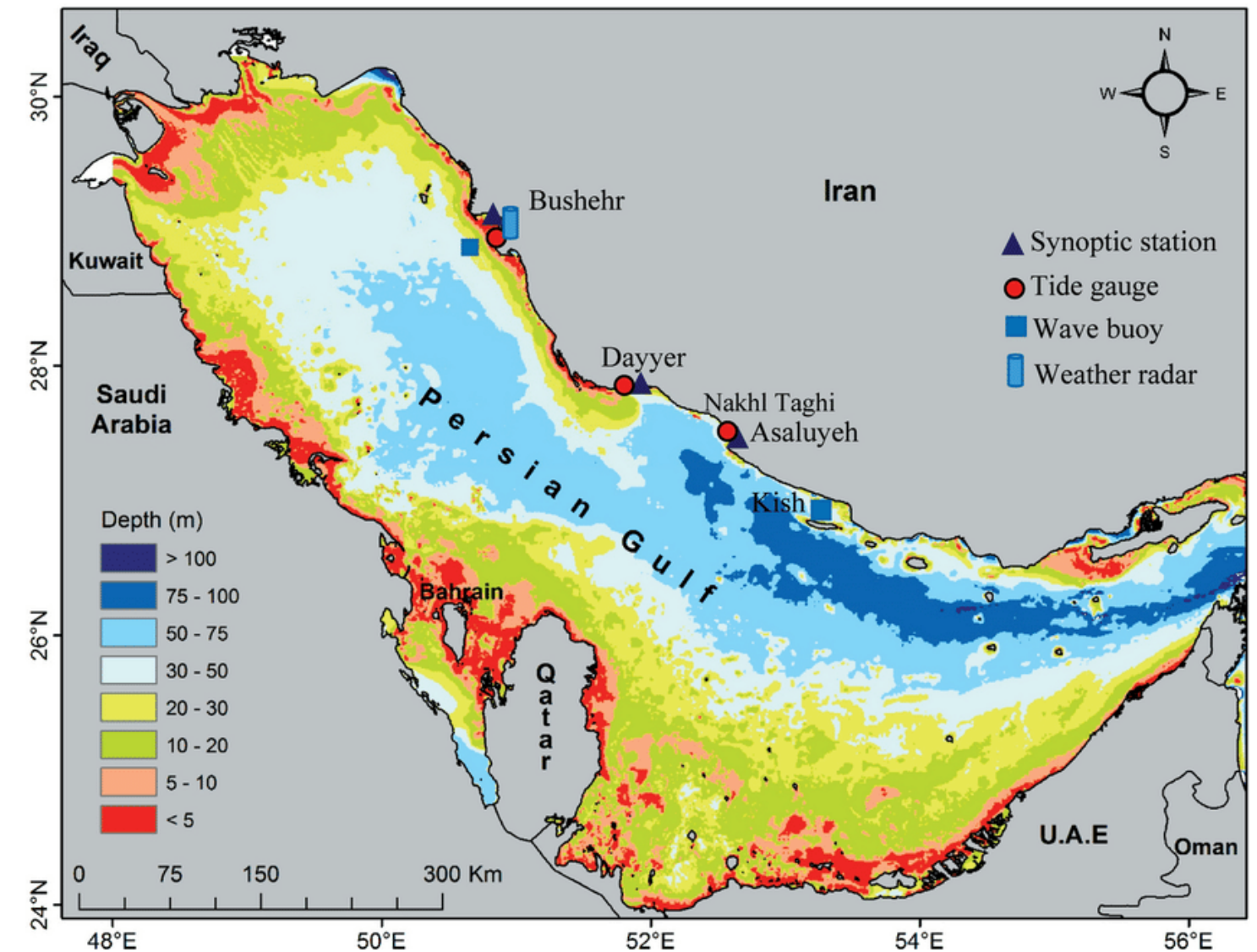
- Other proponents of payoffs in foreign environments maintained that:
- U.S. firms should not attempt to control foreign counterparts who have different standards and customs.
- Payoffs can prevent delays and expedite action, and are therefore less costly and more effective than not using payoffs. Furthermore, there are no viable alternatives to payoffs in motivating reasonable efficiency in some foreign environments.
- Without payoffs, U.S. firms will lose foreign business. They will not be able to compete with multinationals of other countries who are not so constrained; and, as a result, the continued viability of U.S. multinationals, and even the U.S. economy, will be jeopardized.

Foreign Corruption Practices Act (1977)

- The Defense Department continued to place multimillion-dollar orders with Lockheed, despite the bad press.
- Congress refused to withdraw government contracts as a sanction for misconduct, thus showing the vital importance of Lockheed to the military establishment (
- However, in 1977, Congress was so moved by the unfolding of the scandal that it passed the Foreign Corrupt Practices Act, designed to clean up business dealings and ban most types of foreign payoffs.
 - This leveled the playing field within United States...
 - Since then, many other countries have passed similar laws (but not all)

Mapping of the Seafloor in the Persian Gulf

- The Persian Gulf sits on top of large reserves of oil and gas
- It is a very shallow body of water, which makes it relatively easy to mine
- Oil companies need accurate maps of the seabed to decide where to drill
- Several topography companies bid to carry the exact mapping
 - The ships must sail from ports with permission from authorities... bribes are paid



Source: [Link](#)

Game Theory Analysis

- Two players bid for a project
- They can pay bribes or not
- The party that bribes can win over the one that doesn't
- If both don't pay, then the cost of project is least for everyone, and the outcome depends on the best bid
- If both pay, then the cost is high, and again the outcome depends on the best bid
- What would you do!?

	Competitor doesn't bribe	Competitor bribes
You don't bribe	(Ethical-Ethical) Moderate payoff	(Ethical-Unethical) You lose
You bribe	(Unethical-Ethical) You gain	(Unethical-Unethical) Both lose

The World Is Not Fair...

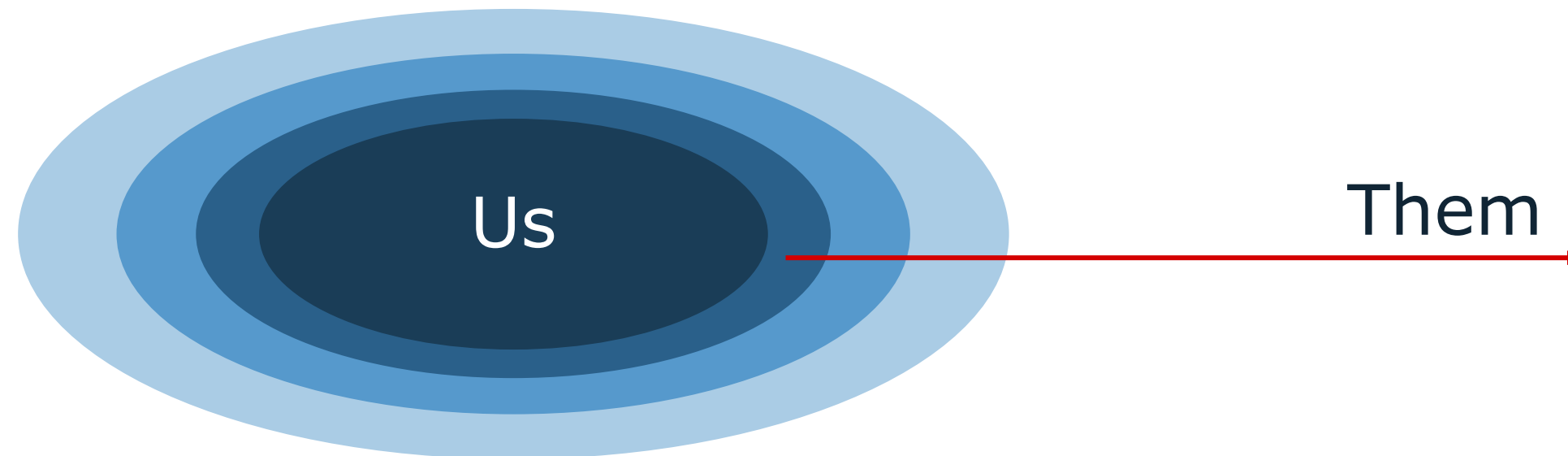
- Here the playing field is level within European/American/Australia/Japanese, etc firms
 - Legally they cannot pay bribes
- However, firms from some other countries have no such restrictions
 - In this particular case (mapping of the seafloor) they have managed to gain a 50% market share from 0% just 15 years ago...
- What is the solution?

One Definition of Ethics

- One can defines Ethics as values governing
 - Individual relations
 - Relationship between the ruler and the ruled
 - Relations in war and peace times
 - Trade
 - (Generally, what makes life easier for all concerned!)

Ethics and Civilization

- Societies (from small to large) need a common set of values for their internal order (and governance)
 - Ethical systems grew out of these
 - Basically a set of rules on what can and cannot be done
 - These set of ethical values concerned the insiders, it did not concern the outsiders



Spiritual Impetus

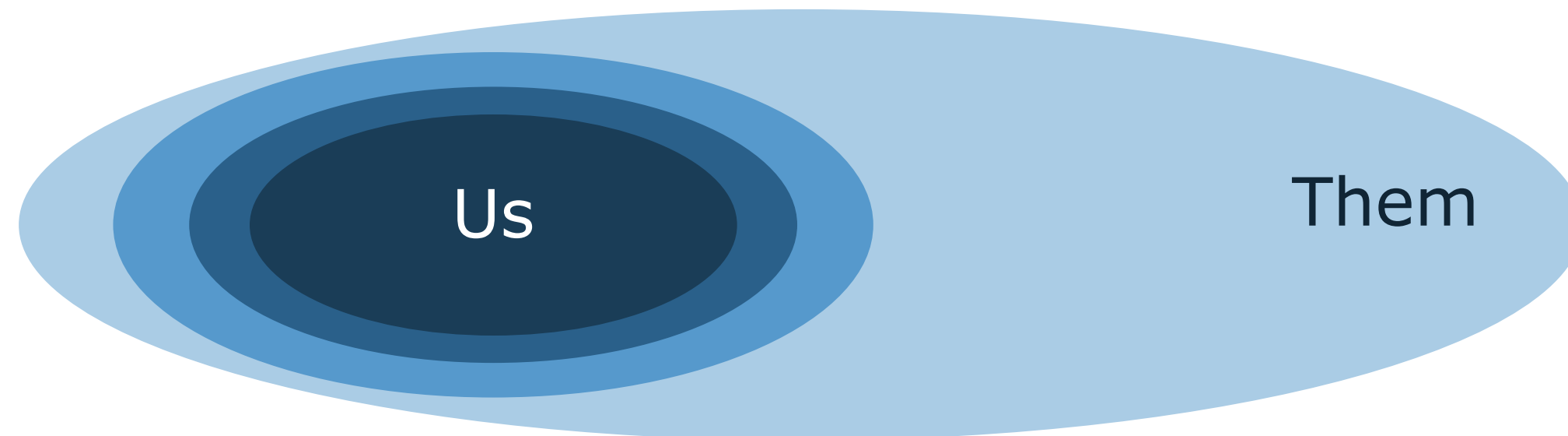
- There is a strong interconnection between Ethical systems and religions
 - Certainly religions appear to have “articulated” the values we know as ethics
- They also had the backing of God! (Whether a fact or not, the reliance on a hidden omnipotent being facilitated an easier enforcing of these rules – individually and collectively)
- Religions fused societies together, gave them purpose, and helped them overcome competing societies
- They also widened the circle of “Us”, allowing others to come in, and in this way win them over

Some Questions of Ethics

- How about when the Spaniards came in contact with Aztecs, Incas, etc.
- Were they within their ethical bounds to
 - Rape and slaughter them?
 - Steal their Gold?
 - Destroy their civilization?

Ethics Today

- What are the ethical values for a global society?
- Where the Us/Them boundary is diminishing?
- What are responsibilities and rights in a global society?
 - Do we have a responsibility to create a better world for all humanity?



Making Ethical Decisions

- There are several schools of ethical decision making, including:
 - The Ethics of Duty: (Emanuel Kant) “Do the right thing”
 - The Ethics of Consequences – Utilitarianism: “Make the world a better place”
 - The Ethical of Selfishness or Egoism: “Watch out for Yourself”
 - The Ethics of Justice: “What is fair”
 - The Ethics of Virtue: “Be a good person”
 - The Ethics of Conscience: “Follow your conscience”
 - The Ethics of Divine Command – Religious Moralities: “Do what the Bible - Qur'an - Bhagavad Gita, etc... tells you”

The Ethics of Duty

- Begins with the conviction that ethics is about doing what is right, about doing your duty.
 - Duty may be determined by Reason
 - Kant: do what any rational agent should do
- Professional role
 - A physician's duty to care for the sick
 - An Engineer to construct and develop reliable products



Utilitarianism

- Seeks to reduce suffering and increase pleasure or happiness
- A metric needs to be defined for what is sought: Pleasure, Happiness, Wealth
 - Actions will be required to maximize this metric
- Demands a high degree of self-sacrifice: we must consider the consequences for everyone
- Consequences Count: utilitarians would always want to know what the consequences of their actions are
 - They want the world to be a better place for everyone
 - You can trace this in the Code of Ethics of Engineers Australia

Ethical Egoism

- The only person to look out for is yourself: “people always act in their own self interest”
- Many economic analyses of human behavior take Psychological Egoism as their basic premise
 - Rational: act in such a way to promote our own long-term self interest
- The rational is that this will lead to a Better World for Everyone, if everyone took care of themselves
 - If all companies work their hardest to profit themselves, innovation will result that are of benefit to everyone...

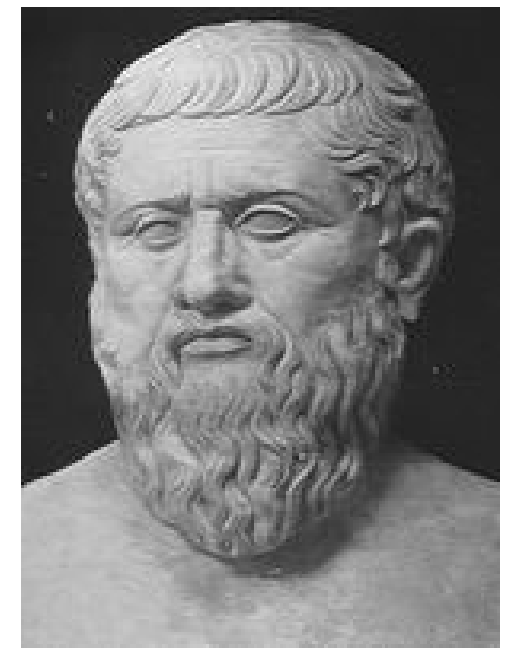
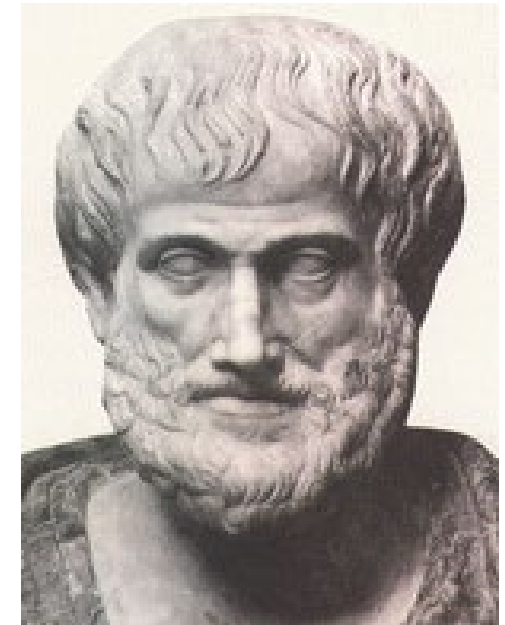
Ethics of Justice

- What is fair for one should be fair for all
 - Distribution of Scarce goods (e.g. Clean Air, livable climate)
 - A global society where everyone has access to liberty and pursuit of happiness
- Global justice: how can we administer and deliver a just society
 - Outside the scope of the Code of Ethics
- However, inter-generational development touches on the Ethics of Justice



Virtue Ethics

- Seeks to develop individual character
 - Assumes good persons will make good decisions
 - Developed by Plato and Aristotle
 - Can bring religious and non-religious traditions together
- “Truthfulness is the foundation of all human virtues”
- The Engineers Australia code of ethics expects truthfulness and honesty



Ethics of Our Inner Voice

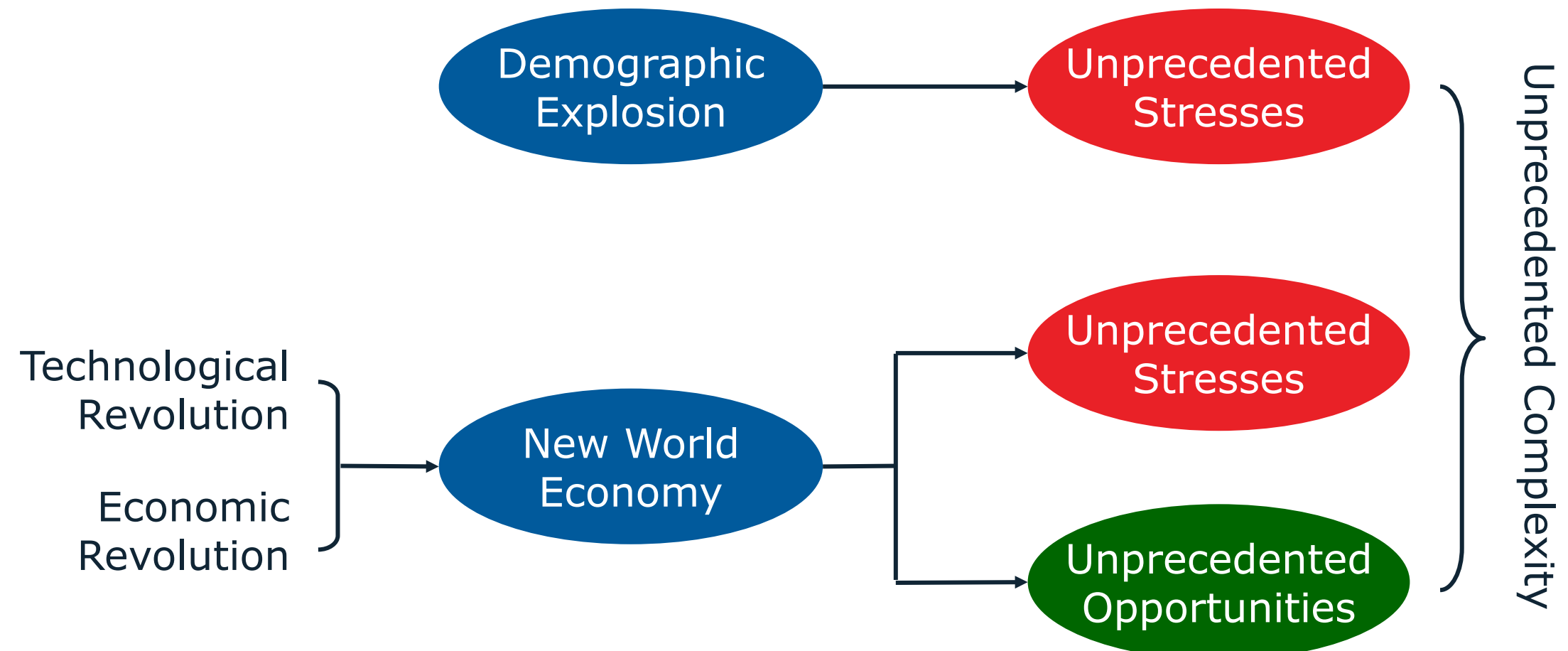
- Conscience tells us what is right or wrong
 - Often has a religious source
 - May be founded in a notion of human nature

Ethics of Divine Command

- Being good is equivalent to doing whatever a sacred text or source of revelation tells you to do.
 - “What is right” equals “What God tells me to do.”
 - If the holy text is against some action, then I won’t do

Two Big Forces

- Two big forces of demographic explosion and new world economy are creating unprecedented challenges and opportunities for the world community
- Leading to unprecedented complexity on how humanity's affairs are to be ordered



Population Challenges

- Stresses coming from changes in world population
- Aging in developed countries, leading to
 - Migration issues
 - Pension issues
 - Taxation issues
- Population explosion in developing countries, leading to
 - Food production issues
 - Education issues
 - Job creation issues

New World Economy

- New world economy creates opportunities as well as challenges
- Opportunities are:
 - Lower inflationary pressures
 - Growth opportunities
- Challenges are:
 - Greater disparities
 - Turbulence as the result of ease of fund transfers
 - Over-reliance on Market Forces

Sharing Our Planet

- Issues involving the global commons
 - Global warming
 - Biodiversity and ecosystem losses
 - Fisheries depletion
 - Deforestation
 - Water deficits
 - Maritime safety and pollution

Sharing Our Rule Book

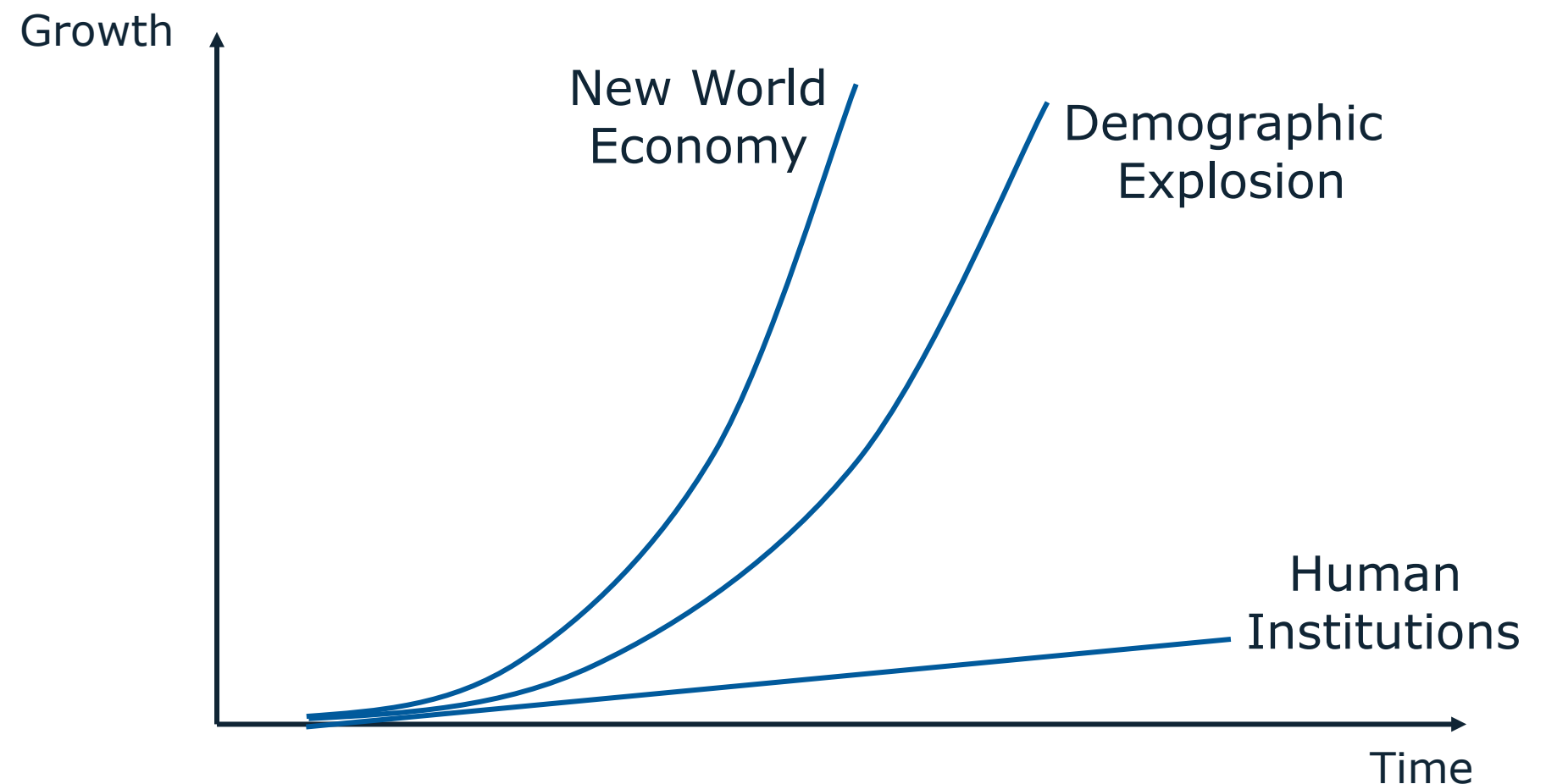
- Issues regarding a global regulatory approach
 - Taxation for the 21st century
 - Biotechnology rules
 - Global financial structure
 - Illegal drugs
 - Trade, investment, and competition rules
 - Intellectual property rights
 - E-Commerce rules
 - International labour and migration rules

Sharing Our Humanity

- Issues requiring a global commitment
 - Fight against poverty
 - Peacekeeping, conflict prevention, combating terrorism
 - Education for all
 - Fighting infectious diseases
 - Digital divide
 - Natural disaster prevention and mitigation

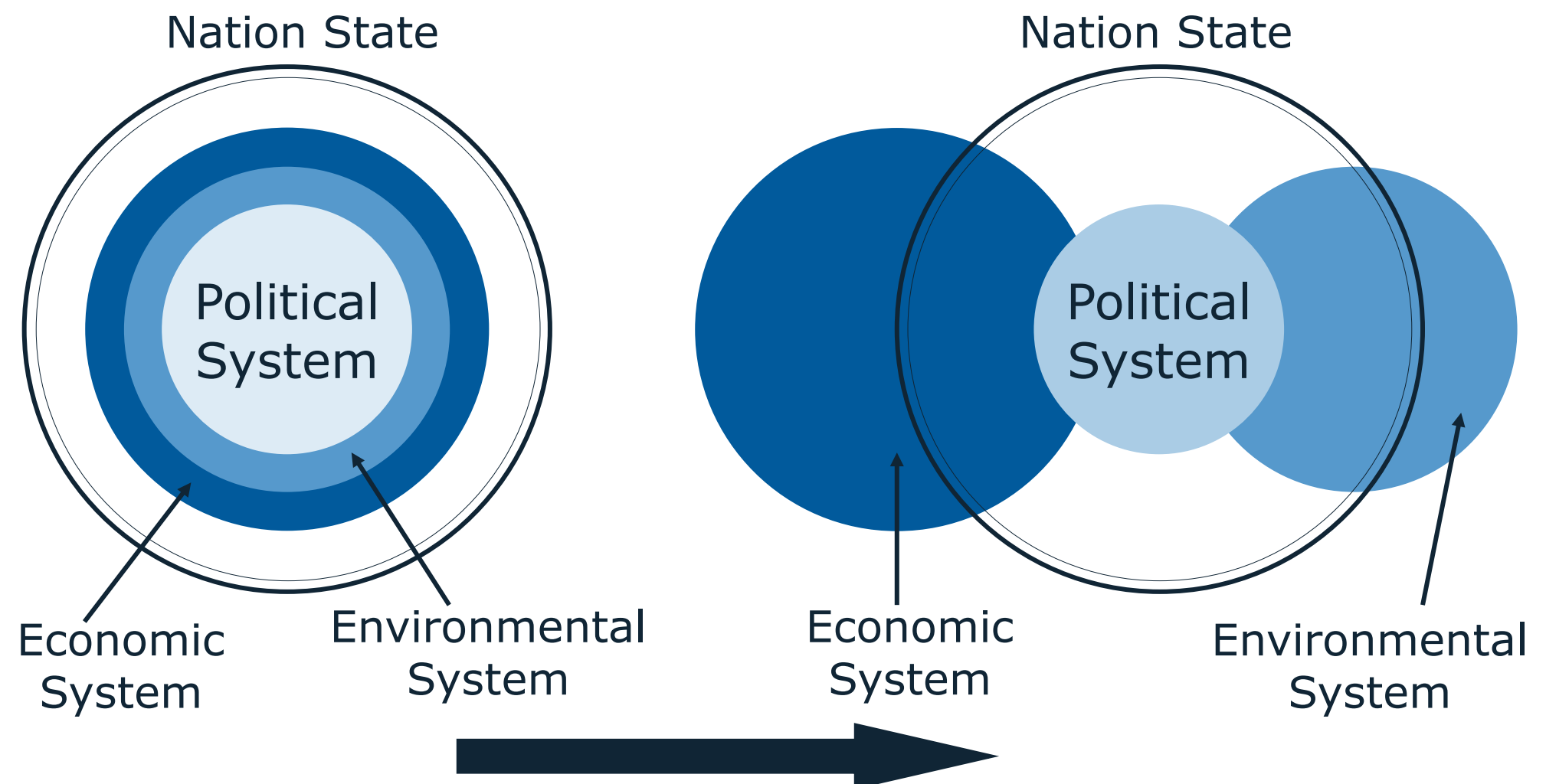
Growth Gap

- There is a wide gap in the growth of economy and population, and the human institutions required to “police” them
- This is specially so with regards to international policy, as international bureaucracy, rooted in “nation state” framework is ill-equipped to deal with policy challenges



Struggling Nation-States

- Good old days! When the affairs of a nation were independent of its neighbors
- No longer it is so. How can a “nation-state” based political system deal with extra-territorial issues it faces (which are increasingly the majority of the issues it faces...)



Some Thoughts

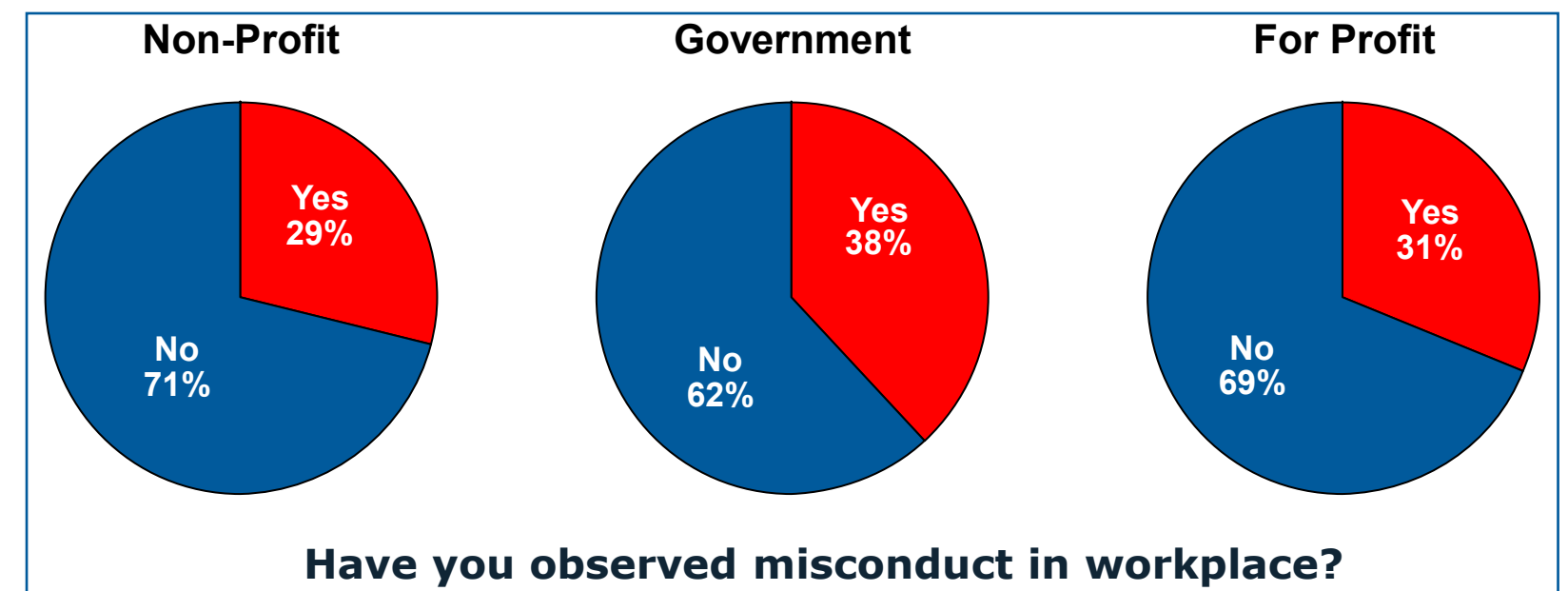
- How do we organise our affairs as a global society?
 - An ethical mandate to do so?
 - As politicians
 - As businesses
 - As civil society
 - What is leadership?

Some Thoughts – cont.

- Our problems are global
- Our solution must also be global
- Solutions cannot be devised and implemented efficiently on a local level
- However, our short-sightedness is leading us to the brink of unforeseen calamities
- Will we arrive at global governance by choice, or only after all other avenues have been blocked?

What is Business Ethics

- Ethics can be defined as rules, standards and moral principles regarding what is right or wrong in specific situations
- Business ethics comprises the principles and standards that guide behaviour in the world of business
- It is necessary because it is believed that many businesses are involved in unethical behaviour
- Unethical behaviour incidents increasing with organisations size
 - A typical survey of workers shows:

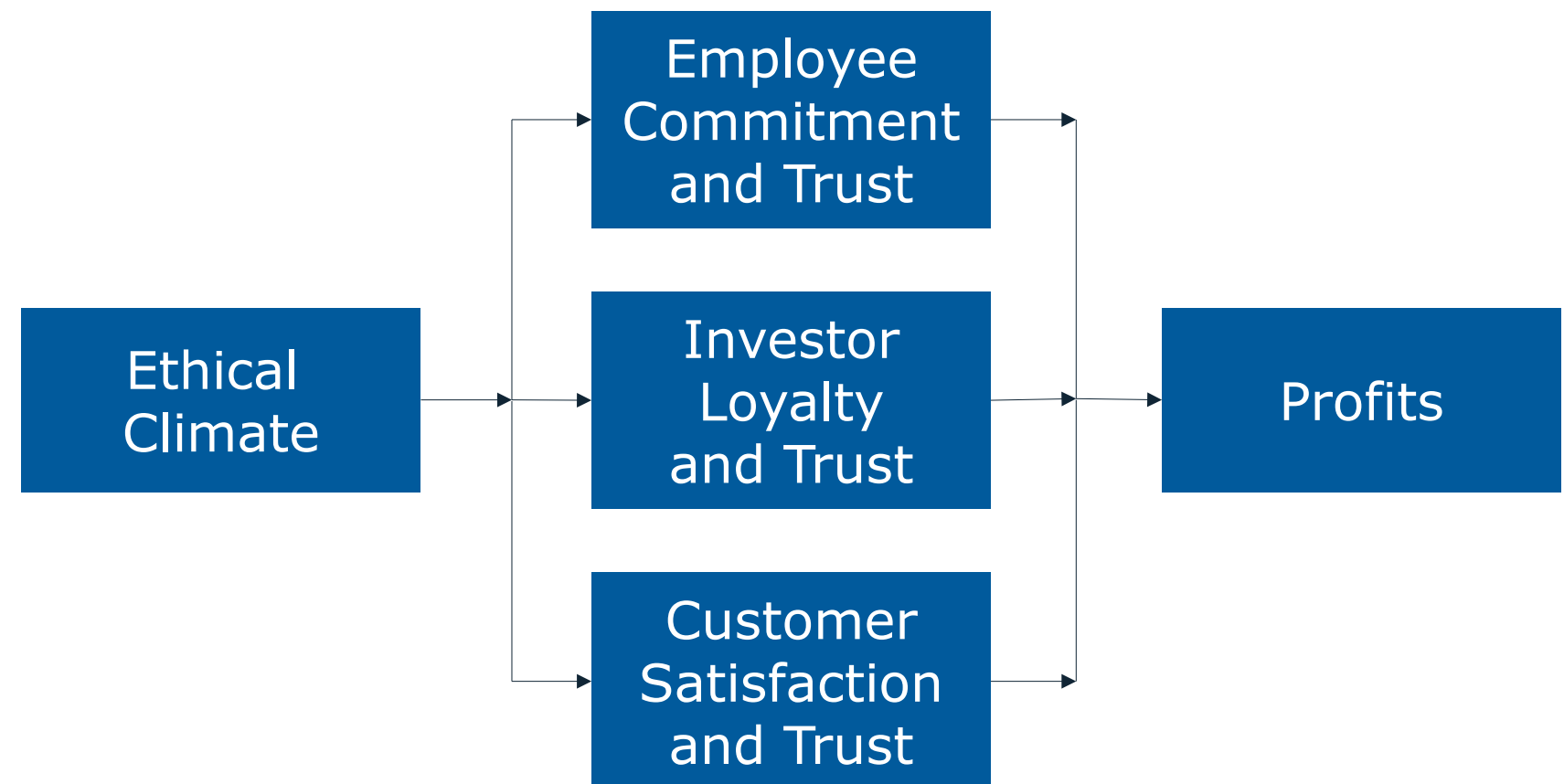


Progress?

- After the 60s, legislations were put in place to protect consumers rights and actions of big business came under more scrutiny
 - Safety and pollution issues
- In the 70s, corporate responsibility issues, stakeholder considerations entered the discussions on Business Ethics, considering subjects on:
 - Bribery, Deceptive advertising, Price collusion, Product safety, Environment
- The 80's, 90's and the 21st century have seen further legislation to bring accountability into business practices, and ensure ethical behaviour within businesses

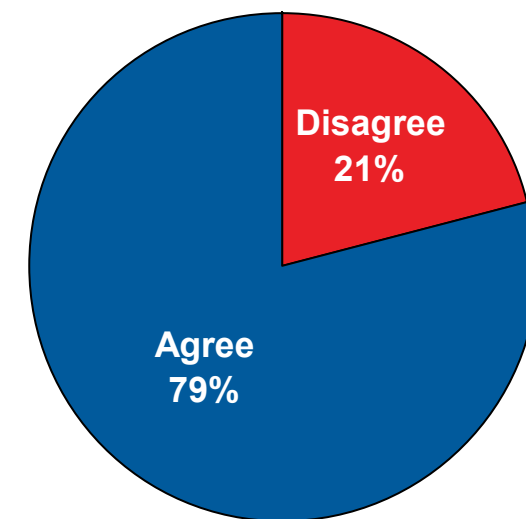
Benefits of Business Ethics

- Ethics contributes to making profits
 - It is good business

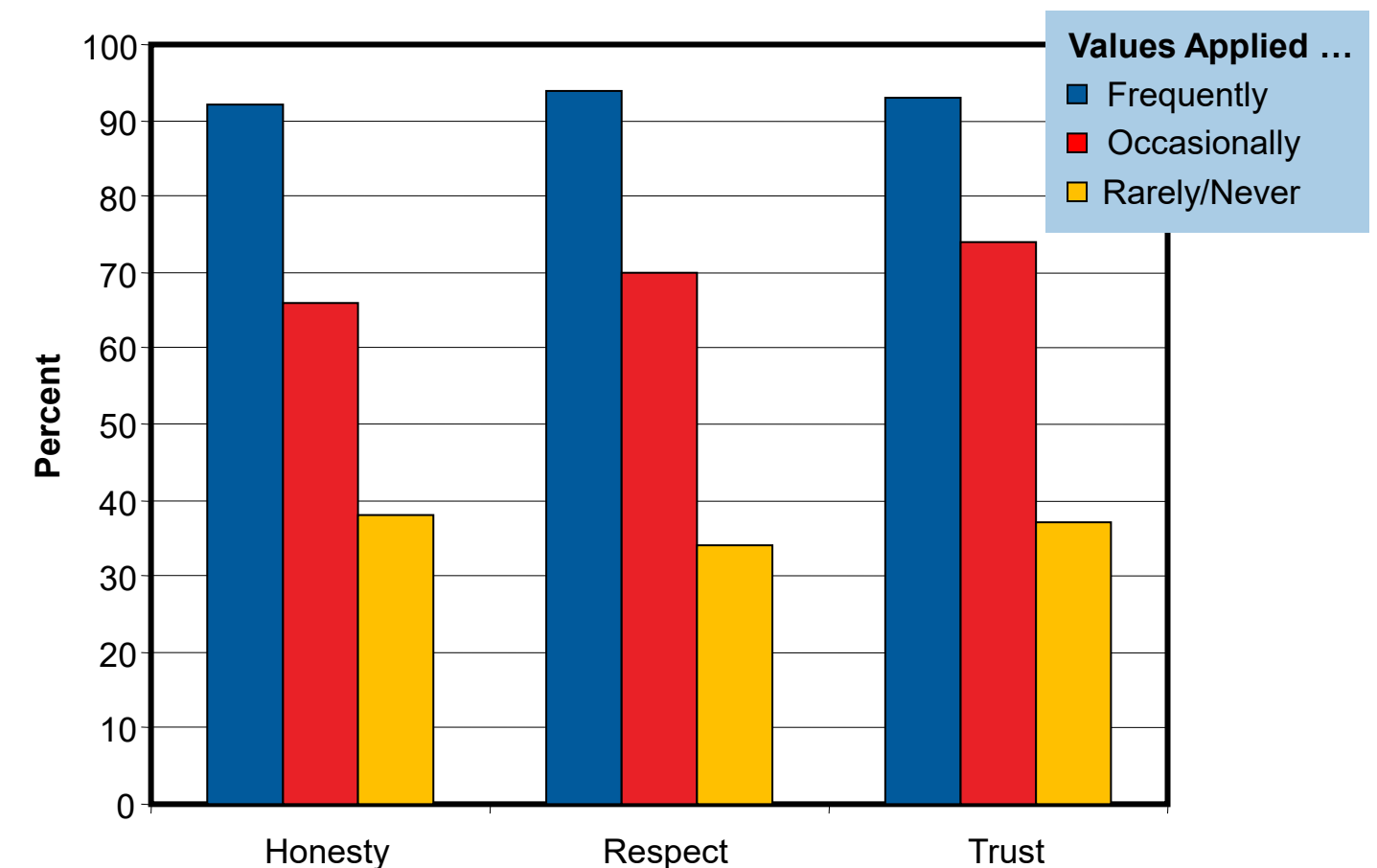


Employee Commitment

- Commitment is about feeling good about working somewhere
- It is about making sacrifices to help the organisation succeed
 - Productivity
 - Team work
- Organisation's ethical behaviour contributes significantly to commitment



Ethics is important in my continuing to work here?



Investor Loyalty

- Investors have shown to take their money away from unethical companies
 - Is it because such investments are riskier?
 - Or is it because we are conscientious? (All things being equal)
- There are many examples:
 - Nike's share decrease after the "Sweat shop" claims
 - Enron's share collapse
- There are also "Ethical Funds" which tend to deliver good returns to their investors

Customer Satisfaction and Loyalty

- Brands have great values
 - They represent quality
 - They represent consistency
- They also proclaim ethical behaviour and social responsibility
- These ensure customers bring their business back to the company
- Unethical behaviour can, and has destroyed brand values
- It can be argues that Ethical behaviour is just good business, and that it leads to profits

Engineers Australia Code of Ethics

- The [Code of Ethics and Guidelines on Professional Conduct](#) defines the values and principles that shape the decisions made, and provides a framework for members of Engineers Australia to use when exercising their judgment, in engineering practice and as members of Engineers Australia.

Value and Principles

- Code of Ethics defines the values and principles that shape the decisions we make in engineering practice.
- Guidelines on Professional Conduct provide a framework for members of Engineers Australia to use when exercising their judgment in the practice
- We commit to practice in accordance with the Engineers Australia's General Regulations regarding competency, continuing professional development and the Code of Ethics.
- We accept that we will be held accountable for our conduct under Engineers Australia's disciplinary regulations.

Demonstrate Integrity

- Act on the basis of a well-informed conscience
- Be honest and trustworthy
- Respect the dignity of all persons.

Well-Informed Conscience

- Be discerning and do what you think is right
- Act impartially and objectively
- Act appropriately, and in a professional manner, when you perceive something to be wrong
- Give due weight to all legal, contractual and employment obligations
- Act within your area of expertise

Respect Everyone's Dignity

- Treat others with courtesy and without discrimination or harassment
- Apply knowledge and skills without bias in respect of race, religion, gender, age, sexual orientation, marital or family status, national origin, or mental or physical abilities

Honesty and Trustworthiness

- Accept, as well as give, honest and fair criticism
- Be prepared to explain your work and reasoning
- Give proper credit to those to whom proper credit is due
- In managing perceived conflicts of interest, ensure that those conflicts are disclosed to relevant parties
- Respect confidentiality obligations, express or implied
- Do not engage in fraudulent, corrupt, or criminal conduct

Practice Competently

- Maintain and develop knowledge and skills
- Represent areas of competence objectively
- Act on the basis of adequate knowledge.

Stay Up-to-date

- Continue to develop relevant knowledge and expertise
- Act in a careful and diligent manner
- Seek peer review
- Support the ongoing development of others
- Maintain continuing professional development

Act on Basis of Adequate Knowledge

- Practice in accordance with legal and statutory requirements, and with the standards of the day accepted within the Engineers Australia community
- Inform employers or clients if a task requires qualifications and experience outside your areas of competence

Exercise Leadership

- Uphold the reputation and trustworthiness of the practice of engineering
- Support and encourage diversity
- Make reasonable efforts to communicate honestly and effectively to all stakeholders, taking into account the reliance of others on engineering expertise.

Promote Sustainability

- Engage responsibly with the community and other stakeholders
- Practice engineering to foster the health, safety and wellbeing of the community and the environment
- Balance the needs of the present with the needs of future generations.

Engage Responsibly with the Community

- Be sensitive to public concerns
- Inform employers or clients of the likely consequences of proposed activities on the community and the environment
- Promote the involvement of all stakeholders and the community in decisions and processes that may impact upon them and the environment

Needs of the Future Generations

- Balance the needs of the present with the needs of future generations
- In identifying sustainable outcomes consider all options in terms of their economic, environmental and social consequences
- Aim to deliver outcomes that do not compromise the ability of future life to enjoy the same or better environment, health, wellbeing and safety as currently enjoyed.

Scope of Guidelines

- These Guidelines on Professional Conduct provide a framework for members of Engineers Australia to use.
- The Guidelines are not intended to be, nor should they be interpreted as, a full or exhaustive list of the situations and circumstances which may comprise compliance and non-compliance with the Code of Ethics.
- If called upon to do so, members are expected to justify any departure from either the provisions or spirit of the Code.

Summary

- Ethical behaviour has taken on a new meaning with the globalisation of our world economy, environment, and culture
- A new global order is still to emerge
- Business ethics also are affected because of the same global forces
- Engineers Australia has produced a set of ethical guidelines which as engineers we need to abide by
 - These ethical values are based on fundamental ethical systems